

# Foundational Factors

A compact three-factor core (momentum, mean reversion, carry) – each axis captures a structurally different source of cross-sectional return, so their blend is largely uncorrelated.

Foundational Factors integrates three orthogonal factors: momentum, mean reversion and enhanced carry. The momentum component captures assets with strong, persistent price trends; the mean reversion component captures assets with medium-term mean reversion effects; and the carry strategy seeks to profit from funding rates and related statistical price distortions.

All have been inspired by the academic literature, with proprietary enhancements.

Together, these factors create a diversified return stream designed to outperform in a range of market conditions.

The asset universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques are employed to keep it both stable and relevant, as well as survivorship-bias free.

To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The portfolio is rebalanced daily, with hourly updates provided, 5 minutes past the hour (UTC).

## TOP 40 CROSS-SECTIONAL MULTI-FACTOR PORTFOLIO

Top 40 market-cap universe • 200% gross exposure (100% long / 100% short). Blends 3 orthogonal factors into one diversified, point-in-time stream; inverse-vol sized, rebalanced daily.

[Download Returns \(CSV\)](#) →

### PERFORMANCE

Report Period Start Date Jan 2020 • End Date Jul 2026

#### Cumulative Returns

| MTD   | Last Month | 1M    | 3M   | YTD  |
|-------|------------|-------|------|------|
| -1.6% | -5.0%      | -1.5% | 8.6% | 6.8% |

#### Annualised Returns (CAGR)

| 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|
| 29.6% | 43.9% | 30.3% | 68.6% |

### RISK PROFILE

#### Realised Volatility (annualised)

| 1M    | 3M    | 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|-------|-------|
| 11.5% | 21.3% | 18.0% | 21.6% | 21.2% | 27.8% |

#### Max Drawdown

| %      | Date       |
|--------|------------|
| -30.2% | 2022-02-27 |

### CUMULATIVE RETURN



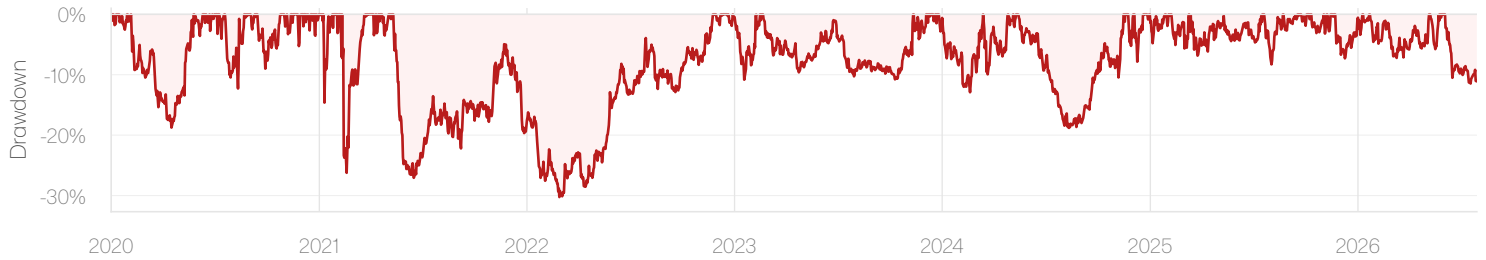
Note – Performance is for the Foundational Factors multi-factor portfolio (component factors blended and rescaled across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

# Portfolio Analysis

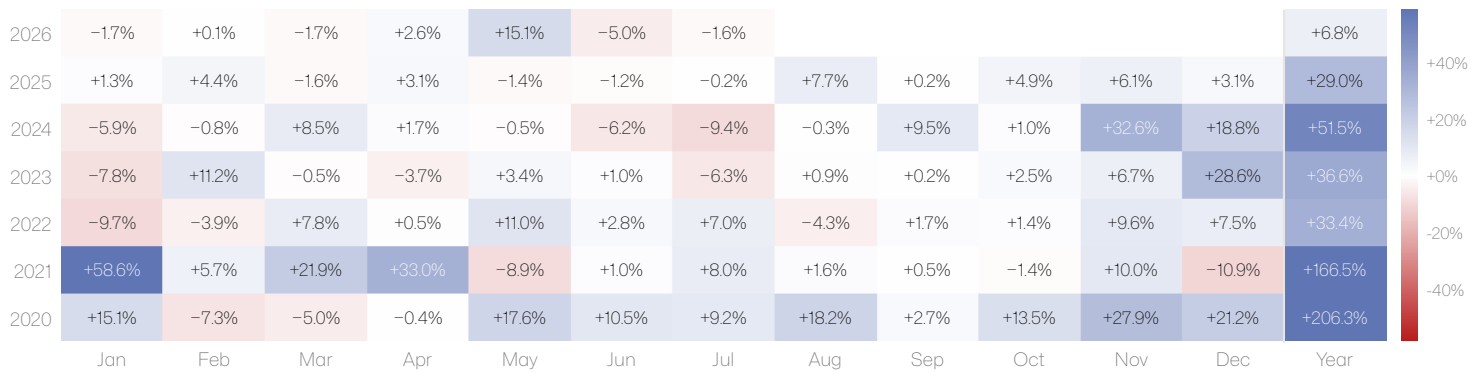
[Download Returns \(CSV\)](#) →

Portfolio-level diagnostics for the live multi-factor strategy: the cumulative compounding profile shown on page 1 broken into its drawdown trajectory, calendar-month returns, rolling risk-adjusted return and rolling gross exposure. Constituents: Momentum, Mean Reversion, Enhanced Carry.

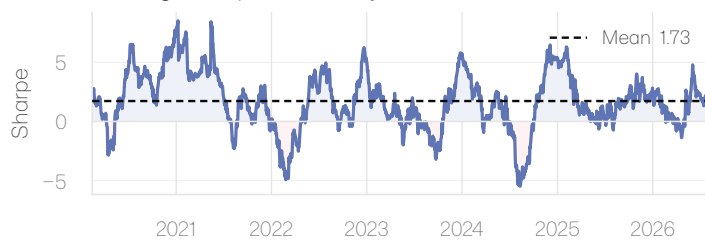
## Drawdown



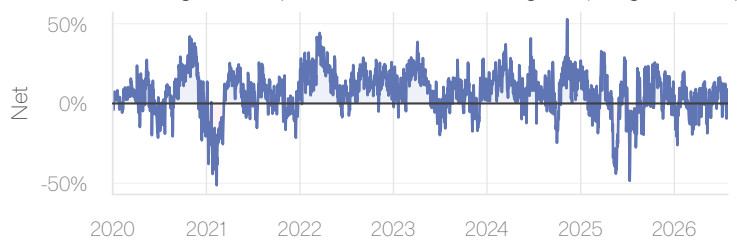
## Monthly Returns • calendar-month, compounded



## Rolling Sharpe • 90-day, annualised



## Rolling Net Exposure • sum of weights (long – short)



## ABOUT UNRAVEL

Unravel publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – designed to be combined into multi-factor portfolios that diversify away single-factor risk. Full catalog, methodology and API at [unravel.finance](https://unravel.finance); see the materials below.

[View this portfolio on unravel.finance](#) →

[Replication notebook – multi-factor construction](#) →

Have further questions? [Book a call with our team – unravel.finance/booking](#)

Unless indicated otherwise, this document and all information contained within – including, without limitation, all methods, processes, concepts, text, data, graphs and charts (together, the “Content”) – is the property of Unravel Finance and its affiliates (“Unravel”) or its licensors. Unravel does not provide investment advice and nothing in the Content shall be construed as such. In particular, the inclusion, weighting or exclusion of an asset or exchange does not in any way suggest or reflect an opinion of Unravel. Financial instruments based on Unravel factors or indices are in no way sponsored, endorsed, sold or promoted by Unravel. The Content is provided solely for informational purposes based upon information generally available to the public and from sources believed to be reliable. No Content may be modified, reproduced, reverse engineered, or distributed in any form or by any means without the prior written consent of Unravel. THE CONTENT IS PROVIDED ON AN “AS IS” BASIS AND UNRAVEL DISCLAIMS ANY AND ALL EXPRESS OR IMPLIED WARRANTIES, INCLUDING BUT NOT LIMITED TO ANY WARRANTIES OF FITNESS FOR A PARTICULAR PURPOSE OR USE, FREEDOM FROM BUGS, OR SOFTWARE ERRORS OR DEFECTS. In no event shall Unravel be liable for any direct, indirect, incidental, compensatory, punitive, special or consequential damages, costs, expenses, legal fees or losses (including, without limitation, lost income or lost profits and opportunity costs) in connection with any use of the Content even if advised of the possibility of such damages. Performance shown is derived from a model multi-factor portfolio and may include hypothetical, back-tested results that reflect application of a methodology with the benefit of hindsight; actual results may differ materially. Past performance is not an indication or guarantee of future results.